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Searching for a new global development trajectory after COVID-19

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Abstract

A growing number of policymakers and scholars refer to the current COVID-19 pandemic crisis as a turning point in the evolution of globalisation. Following these interpretations, a relative theoretical hysteresis in analysing the actual moulding of the newly emerging global development model is identified. The post-WWII evolution of global capitalism is approached in this study, focusing on the pillars of international regimes and generation of innovation, from the perspective of the continuous and irreversibly successive phases of world development and crisis. The current transition period constitutes a mutational crisis to the global accumulation regime and mode of regulation, like previous developmental and dialectical transitions of global capitalism. The creation, diffusion, adoption, and reproduction of operational, institutional, and organically perceived business innovation constitute the main components for a sufficiently re-stabilised new global development model, which can lead to even more beneficial results for humanity than the outgoing phase of global capitalism.

Keywords: Global development model, Globalisation, New globalisation, Capitalist crisis, Socio-economic transition, Innovation, 2008 financial crisis, 2020 pandemic crisis

1. Introduction

Today, a considerable number of scholars and policymakers argue that COVID-19 marks the end of globalisation as we knew it, referring either to its definitive end or to its radical transformation. From the beginning of 2020 onwards, the pandemic crisis of COVID-19 seems to be drastically transforming the global socio-economic system. Indicative in support of this view are various publications that focus on the decreasing international growth rates and the insertion into a spiral of recessions by also claiming that COVID-19 is accelerating the end of globalisation (Bremmer, 2020; The Economist, 2020). COVID-19 is approached as a milestone of the end of globalisation since it is a stoppage point to the increasingly free flow of information, ideas, money, jobs, and people, causing extraordinary socio-political pressures. A reintroduction of nation-centrism and readjusted protectionism, with stricter immigration rules and new barriers to trade and investment, is expected to "kill" globalisation.

In a similar vein, even the President of France, Emmanuel Macron (2020), expressed a view in favour of the end of globalisation as we know it today. As he said, the globalisation that we experienced over the last forty years, with the exodus of millions of people from extreme poverty and the dethroning of totalitarianism, belongs to the past. The world in which we felt that borders did not matter has made its circle. However, globalisation also made the consumers and financiers the key actors, leading to increased inequality in developed countries. Macron believes the current deep anthropological and unprecedented shock of COVID-19 will force everyone to rethink globalisation in terms of societal needs, hierarchies, and development.

Others argue that globalisation is a contagiously unstable force (Caron, 2020). More specifically, the similar global economic collapse in 2008 caused by the deregulated financial system in the US shows that today's COVID-19 crisis will lead to significant rearrangements in the organisation of the world economy, with the resurgence of the nation-state in the form of new interventionism being "at the gates". Strengthening and reshaping international organisations in response to the current global crisis is also a prominent view in the relevant recent academic dialogue (Portanskiy et al., 2020). It is mostly suggested that the architecture of G20 must be reinforced further, especially in environmental and health issues (Balsas, 2019; Kirton, 2020; Linnerud and Holden, 2016). Global governance in the post-COVID-19 era must not descend into a Cold-War-like fight for dominance, neither push into a new Bretton Woods formation, but lead to an expansion of new forms of multilateralism under the framework of G20 (Larionova and Kirton, 2020).

It is also noted in this debate that the severe consequences of COVID-19 on international trade and globalisation are "not unmanageable" (Gruszczynski, 2020). However, no "return to normal" will come after this crisis; on the contrary, COVID-19 cultivates the seeds for structural

changes in the economy, which are mainly found in the exacerbation of existing tendencies for nation-states to turn inwards and compete openly for economic and political domination.

From a more definitive perspective about the outcome of today's developments and rearrangements, others conclude that the end of globalisation is not near because today's global division of labour brings unambiguously positive results (Brakman et al., 2020). In this approach, it is argued that governments, firms, and consumers will re-assess the current form of globalisation by changing their risk behaviour to deal with the growing uncertainty. In the aftermath of the current pandemic crisis, all key-actors (firms, governments, and other organisations) will have realised that a shock like this is likely to happen again.

From a converging perspective, it is suggested that "globalisation is not dead" because the increasing global interdependence is here to stay; however, the transformation of globalisation dynamics is inevitable after this pandemic crisis (Gehrke, 2020). In the new global era, resilience must be the most crucial aspect of economic integration and convergence in global terms; otherwise, the emergence of the forces of nationalism and introversion will produce disastrous results.

These developments make us identify a gap in the literature. These approaches, either journalistic articles, political notes, or academic debates, do not present a cohesively historical schematisation of globalisation and cannot end up proposing an explicit framework for a new global model of development. They only deal with the emerging phase of the global socio-economic system as a drastic evolution without providing actual proposals for a transition to a new and integrative model of development, except some that focus on rethinking only the workings of international organisations and cooperation. In other words, these approaches do not systematise what all socio-economic organisations need to do to survive and develop in the emerging "new globalisation".

Therefore, the question we will attempt to answer in this article is the following: What could a new integrated and re-equilibrated model of cooperation and development be at the global level following the COVID-19 crisis? The unfolding of the answer begins in section 2, where a historical review of the post-war phases of capitalism is introduced. In the next section 3, the two recent crises of globalisation are presented and compared: the 2008 financial crisis and the current pandemic along with specific recovery forecasts. In the fourth segment, by searching for a new global development model, a synthesis of the facts is attempted. Finally, in section 5, the conclusions of the study and policy implications are presented.

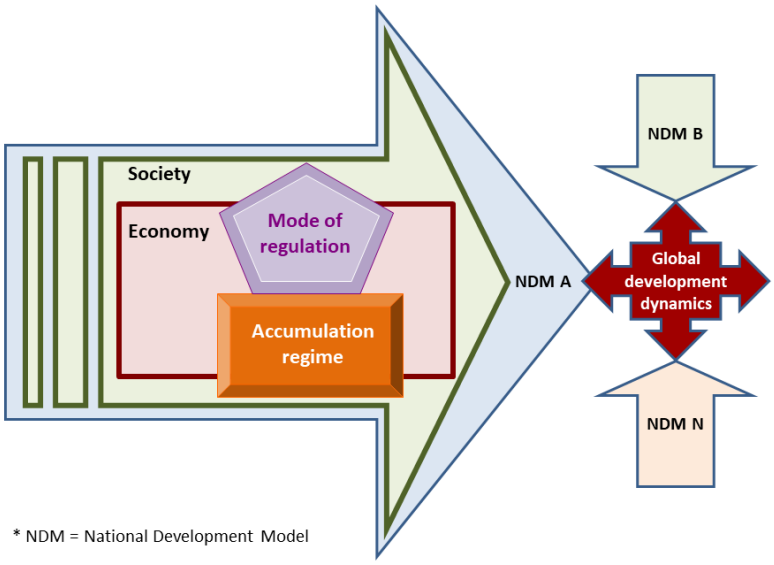
2. The post-war evolution of capitalism and globalisation

Tracing the "birth" of globalisation, as well as its current mutational crisis (Andrikopoulos and Nastopoulos, 2015), requires a combined analysis of the post-war evolution of international regimes and the dominant forms of business innovation (Vlados, 2019a). This approach also derives partially from the contributions of the School of Regulation, in which it is argued that national socio-economic systems mobilise successive models of development and crisis.

These models are created as an evolutionary synthesis between the accumulation regime and the form of regulation of the economic system within a particular social superstructure (Aglietta, 1997). The accumulation regime is about how the economy organises the production process, distributes surplus values, and articulates economic relations with other corresponding systems. The form of regulation includes institutional arrangements that define and regulate the waged labour processes, the types of integration into the international regime, and the structure of competition (Boyer, 1986).

However, in the school of regulation, the co-formulation of the dynamics of globalisation is not analysed and processed systematically. From this perspective, from the beginning of globalisation, the different national socio-economic systems started to create individual post-Fordist paths of consumption and production. The most competitive national capitalisms followed the mass production of differentiated products, the total productivity of the post-Fordist firms, and the synergies with their adequately specialised workforce (Coriat, 1990; Jessop, 1988). On the contrary, in the first phase of global development after WWII, the Fordist paradigm prevailed, with the mass consumption and production being the main engine of profitability by taking different forms within the specific national development cases (Lipietz, 1987) (Figure 1).

Figure 1: National Development Model (NDM) and the articulation of global dynamics.



Every National Development Model (NDM) is composed of a combination of the mode of regulation and accumulation regime. These two levels of analysis always constitute the evolutionary matching between the economy and society in each national socio-economic system. These different national systems and development models that assimilate and activate are having a relationship of co-evolution, meaning simultaneous agreement and conflict in global dialectical terms. This process creates (and re-creates), in continuous and evolutionary terms, the dynamics of international development and crisis.

It could be said that, at a global level, evolutionary accumulation regimes are created by the forces of innovation at every level of institutions, functions, and spatial systems. The forms of regulation include all the partnerships and structures of competition activated as schemes of global governance for the necessary political intervention that defines the framework for the functioning of international economic relations (Rewizorski, 2015). The co-evolution of these two always provides a sufficiently stabilising model of socio-economic development until the crisis occurs, and then a new system replaces the old one. Concerning these two dimensions of international regimes and innovation, some of the central points distinguished by the scholarly literature are the following:

- International regimes consist of institutions, norms, and actors and, as a system, can be characterised by a synergistic, cooperative, or conflictive structure and hegemonic implementation (Shivakoti et al., 2019). When analysed in the context of an international regime of dominance, the different synergies, collaborations, and conflicts can coexist to the extent that one of them is always superior in a specific historical time and space.
- From a Schumpeterian perspective, every concrete process of capitalist development rests upon a preceding development and change, which is always ignited by the forces of innovation (Schumpeter, 1934). Business innovation comes and is imposed as a new method, form of organisation, product, or process, acquiring market "legitimacy" (Raffaelli and Glynn, 2015). Within the firms and other socio-economic organisations, internal forces are always created, which causes them to adhere to specific innovation types (Carlino and Kerr, 2014). These archetypes remain active over time, reproducing the internal dynamics of survival and evolution, diffused dominantly in the external socio-economic environment. These ideal types are meant by the concept of dominant types of innovation.

At the level of the structuration of the post-war international regime before globalisation —the beginning of which several analysts trace it in the early 1980s (Levitt, 1983; Michalet, 2005)—the point of reference is the bipolar establishment of American hegemony vis-à-vis the

Eastern bloc, which caused the ensuing Cold War (Applebaum, 2012). At this stage, the central economic pillar is the nation-state, while in the framework of cooperation under the hegemonic umbrella of the United States, the Bretton Woods Institutions (International Monetary Fund, World Bank) and the North Atlantic Treaty Organisation (NATO) are created as regulators of the world economy (Heller, 2006).

Concerning the dimension of innovation, a continuous increase and aggregation in capacity and specialisation is the primary trend. Cumulative innovation becomes a dominant force in mass enterprises, especially in Western economies, based primarily on classical management and its principles (Rothwell, 1994). More generally, it is considered that the more funds spent on research and development (R&D), the more success the products will have and, consequently, profitability.

These dynamics of cumulative innovation and post-war US hegemony created a sufficiently stable regime of worldwide growth, leading the war-torn economies to their recovery at an increasing pace. Around the beginning of the 1970s, this relatively equilibrated phase of international progress began to destabilise. Eventually, the world was led to a crisis when the internationally stable exchange rates and the gold standard were abolished (Gray, 2007). As early as 1960, many American banks had begun to offshore their activities mostly due to the emerging Eurodollar market, while the multi-nationalisation of several American companies seemed inevitable back then.

This evolution was not superficial but was created by a spiral of a previous structural maturation. During the transitional period, approximately between 1970 and 1980, the following implications took place and transformed the world radically:

- At the international regime level, the political, military, and ultimately ideological hegemony of the United States faced unprecedented damage by the outcome of the Vietnam War. Moreover, the Cold War dipole began to shake due to the increasing disobedience of, until recently submissive, regimes in the eastern coalition (Gaddis, 1992). During the collapse of the Soviet Union in the early 1990s, the phase of globalisation had already been established, with national borders losing their dominant importance and markets increasingly inclined towards liberalisation.
- In terms of business organisation and innovation, the era of Fordism with the mass production and consumption ceased to be the central regulatory force (Boyer and Durand, 1993). The reduced effectiveness of this organisational and innovative "paradigm" was questioned, and massive enterprises attempted mostly to combine and multiply their potential in a multinational direction. By investing in ever-closer synergies between R&D and technological research and marketing, they manage to gradually overflow from their previously strictly defined nation-centric contours and operations.

Through this dual crisis at the international modus operandi and innovative organisation, the world economy enters a new reality. The introduction of rising-in-number and quality economic, social, political, and cultural flows globalises the previously relatively self-regulated and autonomous national spaces irreversibly. The production, circulation, and consumption of things and ideas do not derive now from the national parts of the world economy because the interactions and interconnections at the simultaneous "glocal" level (local and global) are the primary engines of progress (Roudometof, 2014).

Globalisation is an era of intensification of social readjustments, where distant localities are increasingly linked at all functional levels structurally (Giddens, 1990). In other words, all significant social relationships and networks are now crystallised and transformed through combined local, national, and international interactions. These "inter-spatial" processes of change are transforming the global organisation of innovation networks radically. These global bonds co-create globalisation, which does not stop to mutate and unify the multi-level socio-economic action (Held et al., 2000).

The international regime in the epoch of globalisation is characterised by the rapid emergence of new economic superpowers and the progressive prevalence of liberal (of Western origin) democratic institutions (Fukuyama, 1992). Simultaneously, this framework of globalisation does not lead the different national development models to reduced variety,

heterogeneity, and multiplicity. The international monetary system is now regulated mostly through multilateral processes at some heads-of-states meetings that occur periodically in the frameworks of G7-8. At the same time, the promoted recipe for overall socio-economic development is based on opening to international trade and capital and redefining the interventionist role of the state (Williamson, 2009).

More profoundly, it seems that the motor of globalisation is the innovational power that can result from all operational parts of the capitalist firm, which now receives and gives flows to a cross-industrially globalised socio-economic system. It is recognised, mostly within the mass and flexible enterprises, that the lifecycle of the products is now significantly shorter, while the "fast second" can quickly enter the market and acquire shares and eventually depose the incumbent firms (Markides and Geroski, 2004). In this context, the successful business strategy must consider the historical configuration of the always dynamic and correlational strengths and weaknesses, which co-form the internal and external organisational environment at the micro, meso, and macro levels at the same time (Dopfer et al., 2004; Peneder, 2017; Vlados and Chatzinikolaou, 2020).

Within the relatively balanced, for more than 30 years, system of globalisation, some unparalleled achievements in the history of humankind happened. Around 1980, at the beginning of globalisation, more than two billion people were below the extreme poverty line. Especially after the 1990s, during the period of expansion of global value chains and intensification of globalised socio-economic flows, the number of people living in conditions of extreme impoverishment recorded a decrease of more than half (World Bank, 2018). Without claiming that these achievements constitute the definitive progress of humankind, they are undoubtedly significant in the evolving global system of capitalism. In the next section, the inherent tendency of capitalism to generate and absorb crises is examined by focusing on recent events that have stigmatised and seem to reshape the world economy profoundly.

3. From one crisis to another: Subprime loans crisis and COVID-19

Following the collapse of low-collateral mortgages (subprime loans) in 2008 in the US, a thread of turmoil that unfolded globally has fundamentally reversed the confidence in international financial markets and transposed the equilibrium of the global system radically (Andrikopoulos, 2013). The rising financial speculation resulting from relatively relaxed rules and myopic deregulation constituted a "Trojan horse" that caused a chain of acute turbulence.

The main reason behind the real estate market bubble in the US was the willingness to exploit the profitability and efficiency of credit markets to provide homeownership derivatives. This generalised and extravagant confidence in the "self-regulatory" market power (Ogus, 1995) led to the introduction of competition in the mortgage lending business by non-banks that offered creative mortgage packages to prospective homeowners, meaning higher surplus value born exclusively in the real estate market. Through a complex and unsustainable derivatives system, this market eventually collapsed, causing the bankruptcy of the almighty financial services company Lehman Brothers, which found itself overly exposed to risk (Rodrik, 2011).

The unfolding of these events led to the spread of insecurity at the international level that, unlike previous financial crises (Kindleberger and Aliber, 2011), came from the bowels of the leading US economy. The 2008 financial crisis was an endogenous event caused by excess financial speculation, thereby triggering chain reactions at the level of the international regime.

Starting from the US, the planet's powerful economies faced a wave of recessions that manifested as a ripple effect (Gup, 2010). The initial euphoria of the remarkable results of emerging economies began to give way to the return of geopolitical tensions and a now mutated phase of the shaken US hegemony. The international regime continued to head towards a growing multipolarity, in which regulation no longer depends only on Western-inspired institutions but also on new, competitive, and parallel institutions, such as the New Development Bank of BRICS.

The union of the BRICS countries, as a revisionist and "institutionally-substitutive" force dominated by China, marks nowadays a structural change that is taking place in the global system (Toloraya and Chukov, 2016). China's quest and effort to impose its institutional position on economies on the geographical path of its exports has led to the introduction and

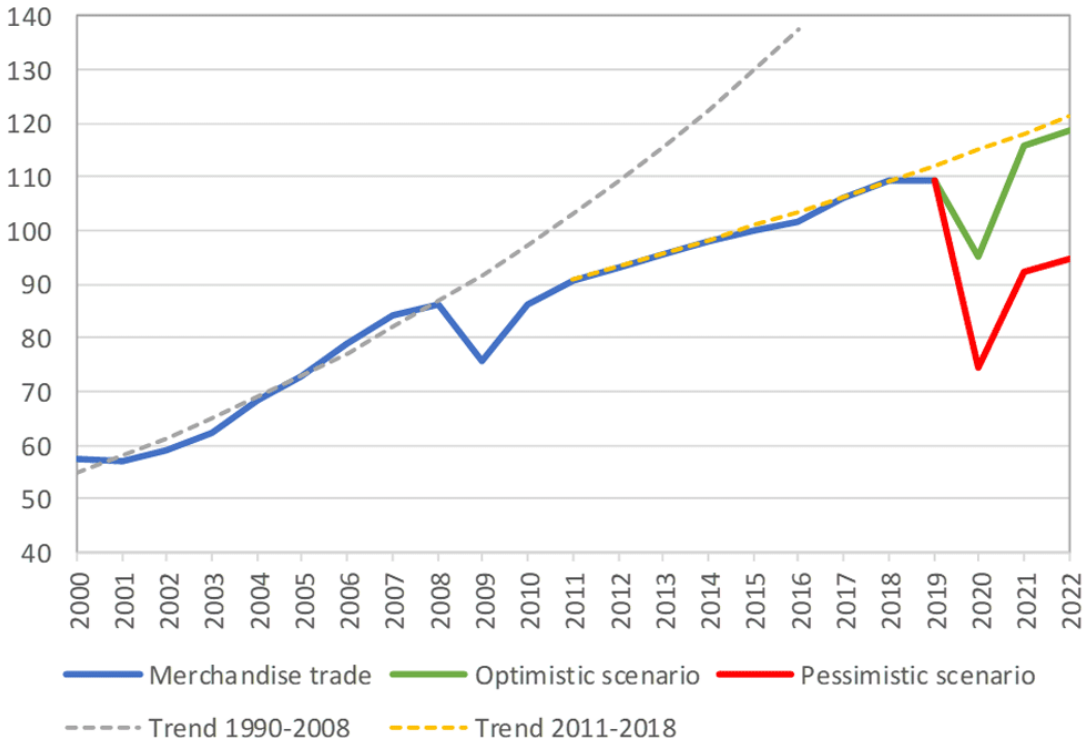
implementation of the ambitious "One Belt One Road" (OBOR) project (Izimov and Muratalieva, 2018). This geostrategic and geoeconomic initiative aims to connect the East to the West commercially by funding infrastructure projects along the path. Indicative of this direction is that, by the end of 2017, central banks from more than 60 countries have used the yuan as a reserve currency instead of the US dollar (Andronova and Shelepov, 2019).

At the same time, the US-China trade war sealed a period of transformation of capitalism, because when the two largest economies begin to impose tariffs on both sides by bypassing the official dispute settlement institutions (the World Trade Organisation), this means that the forces of revisionism are now generalised (Iqbal et al., 2019). Today, within a reduced-in-trust framework, the forces of revisionism question both NATO's peace and security role, as well as the future democratic legitimacy of China's authoritarian regime (Alexandroff and Cooper, 2010; Bayer, 2019).

In this complex international environment of continuous change, any minor positive or negative change in the initial conditions (Lorenz, 2000), in any phase of evolution, unfolds exponentially throughout the globalised and "chaotic" world (Kotler and Caslione, 2009). To this end, at the end of 2019, when some patients were identified in China's city of Wuhan with symptoms of atypical pneumonia, another crisis episode launched.

This crisis unfolds currently and is transforming our world radically. The pandemic crisis of COVID-19 is projected to halt the previous successful path of the fight against extreme poverty, to cause new famines to spring up, and to increase unemployment (United Nations, 2020). According to the World Trade Organisation (Figure 2), the recession caused by COVID-19 is expected to exceed the previous caused by the 2008-2009 financial crisis.

Figure 2: World merchandise trade volume, 2000 2022. Source: Azevêdo (2020).



In a context of declining growth in international trade, at least two scenarios after the outbreak of the current pandemic can be distinguished: in the pessimistic scenario, the volume of international trade will fall by 32%, reaching to 2008 levels, while in the optimistic scenario it will fall by 13%. Almost all regions of the world will experience a double-digit drop in trade volume in 2020 and, plus the 13-32% loss in merchandise trade for 2020, the COVID-19 crisis will lead to a 30-40% reduction in foreign direct investment (UNCTAD, 2020), and a 44-80% decrease in international airlines passengers (International Civil Aviation Organization, 2020).

Estimates for the 2021 recovery cannot be made safely, as the implemented policies need first to be assessed. As the WTO Director-General, R. Azevêdo (2020), points out, the

inevitable decline in trade internationally after COVID-19 will have a devastating effect on households and firms, combined with the impact of the pandemic on many people's health. As argued, appropriate fiscal and monetary policies, geared towards sustainable and socially inclusive recovery, need to be implemented. Markets should be kept open and predictable, and cooperation between countries is necessary to regain lost socio-economic achievements.

These developments point to an apparent regression of globalisation as we knew it (Altman, 2020). The COVID-19 pandemic crisis has further deepened geopolitical tensions, as already introverted governments gained more power, legitimised by the necessary measures needed to combat the pandemic (Selmi and Bouoiyour, 2020). This rise in nationalism and the re-emergence of older geopolitical strains create a global external environment of increased uncertainty, which is also transformed by the innovative transition of the better-adaptive socio-economic organisations. The increase in e-commerce, remote work, and learning are typical examples (Czifra and Molnár, 2020). However, this innovative transition necessarily leaves the less skilled behind (Table 1).

Table 1: Working-hour losses, by world and income group, first and second quarters of 2020 (percentage). Source: ILO (2020).

	1st Quarter of 2020	2nd Quarter of 2020
World	5.4%	14.0%
Low-income countries	2.4%	11.1%
Lower-middle-income countries	3.0%	16.1%
Upper-middle-income countries	9.3%	12.6%
High-income countries	2.5%	13.9%
Africa	2.4%	12.1%
Americas	3.0%	18.3%
Arab States	3.1%	13.2%
Asia and the Pacific	7.1%	13.5%
Europe and Central Asia	3.4%	13..9%

According to the calculations of the International Labour Organisation (ILO, 2020), in the first quarter of 2020, 5.4% of working hours worldwide were lost compared to the fourth quarter of 2019, a figure corresponding to 155 million full-time jobs. Especially the emerging and impoverished economies are highly likely to face increasing waves of poverty and possibly a humanitarian crisis due to the reduction of already low value-added working hours. One of the main reasons will be the contraction of the volume of remittances to these countries that help to ensure food and health protection (World Bank, 2020).

Therefore, it seems that the mutation and structural transformation of the global socio-economic system are accelerated in this period, towards directions that cannot be easily predicted. Radical changes have occurred, caused both from the endogenous mortgage crisis of 2008 and the exogenous COVID-19 pandemic of 2020. Moreover, the latter endogenizes its consequences according to the adaptation efforts of the different stakeholders around the world.

As capitalism continually replicates systemic mutations through long-term turmoil and disturbances, we understand that organisational adaptability and the integrated innovation require establishing crisis and change management mechanisms (Ashkenas, 2013; Ponis and Koronis, 2012). However, the earlier restructuring of globalisation and the situation of COVID-19 are not crises of context that can lead to any "return to normal": they are structural and accelerate the gradual and prescribed emergence of an entirely new model of global development.

4. Seeking a new model of global development: The new globalisation

According to the perspective of dialectics, the unceasing reproduction of "theses-syntheses-antitheses" leads invariably to an elevated and more evolved global status (Vlados et al., 2019). In the terminology of evolutionary economics, continuous innovation drives this irreversible change. Evolutionary economists study the history of economic progress and ways to reinforce specific socio-economic systems to follow apace. In this context, they aim to predict future progress and suggest actions to influence the different trajectories of socio-economic organisations (Nelson et al., 2018).

On the contrary, for the "conjunctural" or superficial view, this phase is wrongly treated as an emergency that will end soon so everything can return to old regularities (Vlados et al., 2018b). In the evolutionary perception of the world economy, globalisation constitutes a phase that emerged as the birth of a distinct "physiological" maturation, in specific time and space. From this perspective, another regime was developed, matured, and gave way to what we now call globalisation.

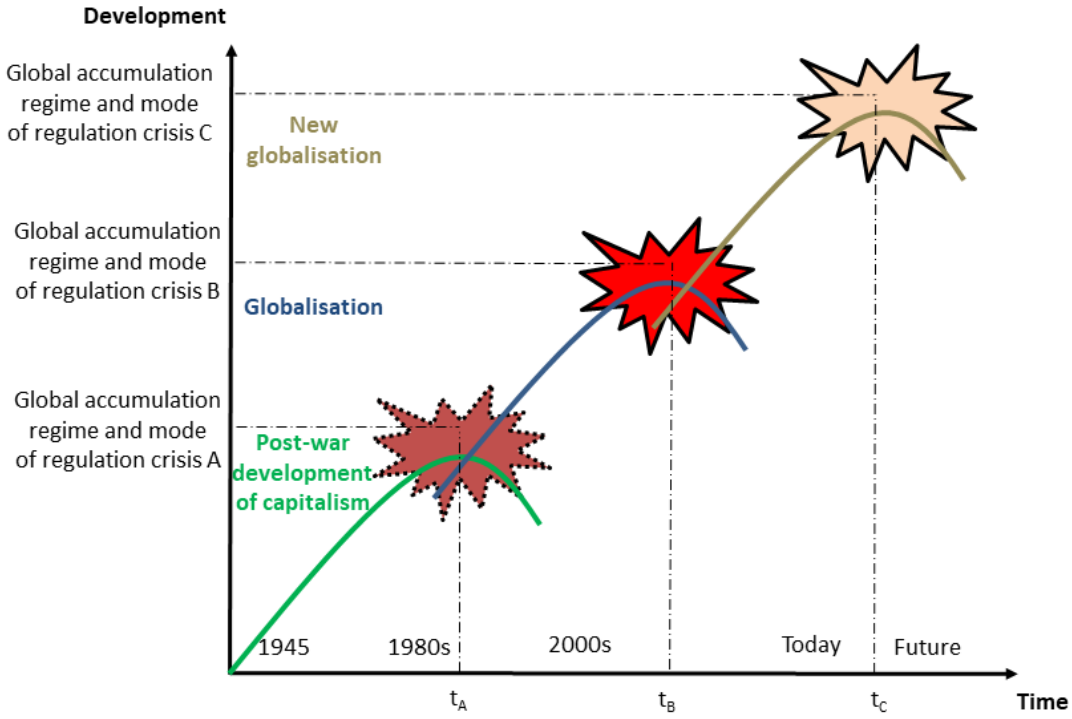
This evolutionary economics paradigm shares common elements with both neo-Marxist and conventional neoclassical theoretical approaches. However, some fundamental features make it distinguishable and more fertile when describing such phenomena:

- One of the principal differences is that the neo-Marxist perspective over-focuses on the alleged socio-economic destruction caused by the "capitalist mode" of production (Ramirez, 2010). Therefore, it leaves no space for a more profound understanding of the capitalist firms and markets as institutions/organisations that reproduce their innovative and survival potential by shaping their environment dynamically (Vlados, 2019b).
- As far as the conventional neoclassical theory is concerned, it remains attached to the relatively simplistic and fragmentary ceteris paribus case (Nelson and Winter, 1974). In this theoretical perspective, the socio-economic actors always think about maximising their profit within a comparably stationary and motionless economy. In the conventional neoclassical theoretical interpretation of globalisation, as opposed to evolutionary economics, the firm's behaviour is limited to the pursuit of maximisation[1]. At the same time, space is broken down into given instances that cannot be considered as historical configurations that are born from socio-economic space-actor interactions (Ghazinoory et al., 2017).

By interpreting worldwide phenomena from an evolutionary perspective and considering how different socio-economic institutions and actors are co-defined and how they co-formulate their hosting environment, it was suggested as early as the first years of the 2000s that the first phase of globalisation was reaching its historical end (Vlados, 2004). In principle, these, and other corresponding analyses of neo-Schumpeterian orientation (Gutiérrez-Barbarrusa, 2019; Perez, 2010), approach capitalism as a relatively stabilising system which, however, has an inherent tendency to create crises of overaccumulation, profit squeezing, and periods of overall socio-economic destabilisation, which inevitably take the global system to an always-mutated set of norms and institutions in qualitative terms. Therefore, the global turmoil we are experiencing today is not the simple result of a fragmented crisis in different states or markets. It is primarily the birth of a multi-year process of structural maturation in the evolution of global capitalism, which can be identified as a phase of the advent of a new development model, at a combined level of the international regime and the ways to produce and exploit business innovation. It is the "new globalisation" (Figure 3).

[1] However, there are also dynamic models in neoclassical economics, such as behavioral economics, that study deviations from "rational" business profit maximisation models (Auriol, 2019).

Figure 3: The crises give birth to new phases of world socio-economic development and order.

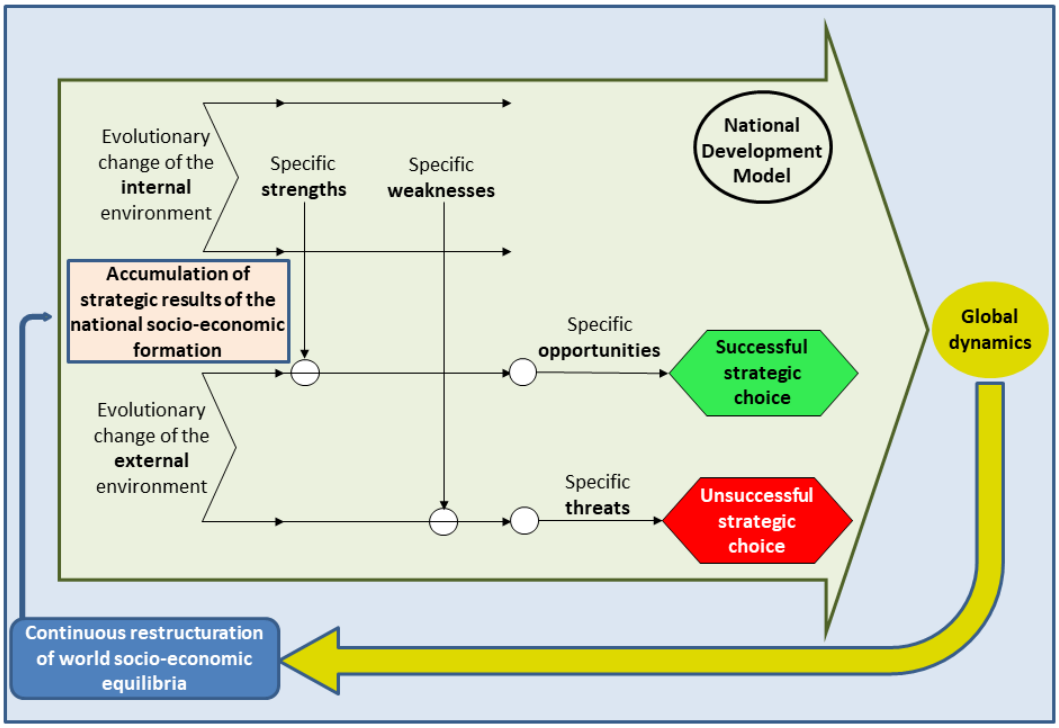


This intermission or "hiatus" of globalisation (Laudicina and Peterson, 2016) is not a phase that will one day end so that we can return to the past. The "death of globalisation" is, in practice, an irreversible transition to a new and re-equilibrated regime for the development of the world economy, as its lifecycle is now gradually being completed. This globalisation that began in the 1980s, which today seems to be reaching a saturation point and completing its circle, was rooted in the previous post-war evolution of capitalism. In this sense, the "new globalisation" finds today, especially after the COVID-19 and the 2008 global financial crisis, the evolutionary ground to cultivate the necessary components that will later distinguish it as an integrated system.

The concept of new globalisation is not new: it was created and supported before the advent of COVID-19, although from different perspectives in terms of suggesting an actual model of global progress and sustainability (Bhattacharya et al., 2017; Kieh, 2008; Lauridsen, 2018; Margulesku, 2015; Vlados et al., 2018a; Vujakovic, 2010). The shared element among these theoretical approaches is that the international system currently lies in a transitional period. In terms of a new global regulation mode, the international status quo is moving towards an increasing multipolarity due to the rise of BRICS and other emerging economies. At the accumulation regime level created by the forces of entrepreneurial innovation, we no longer have only the flexible post-Fordist and integrated enterprise in terms of specialisation, but firms that "think and act" now in terms of organic adaptability and co-evolution between their internal and external environment.

This organically perceived innovation means that the firm, the sectors, the regions, and the overall national socio-economic systems behave and understand that to innovate, they need to make use of their comparative strengths. In other words, all socio-economic organisations inside each national development model must build on their strengths and take advantage of the corresponding and specific opportunities. No matter how subversive it may be, no crisis deprives actors of all the positive prospects, to the extent that they have and activate their comparative strengths effectively. In this perspective, the correlative, evolutionary, and historical approach of SWOT analysis (Vlados and Chatzinikolaou, 2019), implemented in the context of different national development models, should constitute a fundamental for grasping the required activation strategy (Figure 4).

Figure 4: National socio-economic formations, global dynamics, and restructuration of world socioeconomic equilibria



In today's era, when global equilibria are continually being readjusted and restructured, nations need to reshape and re-fertilise their competitive advantages and adaptiveness dynamics to produce and diffuse their innovation capabilities effectively. After all, the only way out any crisis, for every evolutionary trajectory and socio-economic organisation, are the forces of innovation and the transition to an ever-superior dialectic stage of qualitative and quantitative accumulations, until the next structural crisis occurs.

Therefore, the more the socio-economic formations can innovate organically, the better and more favourable the impact of new globalisation will be for an increasing number of people on the planet. From an evolutionary perspective, the new globalisation will finally arrive and establish its presence by providing a novel and relatively balanced global modus operandi, before also, at some point, it begins to destabilise, mature, and eventually complete its entire lifecycle by giving its place to a new phase of global evolution.

5. Concluding remarks

By presenting current perspectives regarding the transformations that COVID-19 is causing in the previous phase of globalisation, we attempted to unravel the prerequisites for the emergence of a new global model of development and cooperation. We concluded that a new international regime, the "new globalisation", is in the process of being born today by taking root in the outgoing phase of progress of the world economy.

The ways the different socio-economic organisations manage to survive and adapt to this lifecycle of "new globalisation" will also shape the aggregative potential of the global system to provide more effective solutions to the pressing issues of growing inequality and the declining rate of poverty (before COVID-19) left by the previous regime. The COVID-19 crisis, like the corresponding financial crisis of subprime loans, acts as a catalyst for the faster consolidation and assimilation of changes that had been predicted over the last 20 years, based on the saturation of the previous growth phase of globalisation. This pandemic is accelerating transformation processes that have been hatching for many years. It constitutes an exogenous shock, which, however, paves the way for the rapid endogenization of its effects, that take on meaning and content based on previous developments that had begun to manifest after the 2008 crisis.

From the perspective of new globalisation, the main criterion for determining whether there will be a sufficiently stabilising and balanced system is organic innovation in trans-spatial

terms, in the sense that all socio-economic organisations must systematically invest in their historically unfolding and evolutionary strengths by also healing their weaknesses. At the level of the international regulatory regime, the structuration of new multipolar mechanisms capable of producing institutional innovations to combat pressing issues through global governance is the critical pillar.

These dimensions combined, we think, can constitute the initial theoretical framework for a study of the phase of global capitalism that began in the early 2000s, culminating in the 2008 financial crisis and the 2020 COVID-19 pandemic crisis. A new generation of research into global developments could focus on the combined dynamics of the multipolar international regime and multifaceted organic innovation to provide practical policy solutions at all levels (individual, local, national, global). At the same time, it could concentrate on the phenomenon of innovation generation and global governance institutionalisation by considering the unfolding of the system of capitalism from its emergence to the present day.

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